LRS cold-call pack · Wednesday, October 21

The syllabus schedules Jarkesy for Class 13 (10/14), procedural due process for Class 14 (10/19), and APA adjudication procedures for Class 15 (10/21). If the class reached Jarkesy only on Monday 10/19, it is one session behind and today will most likely be Set A; if it is on schedule, today is Set B.

Set A · Syllabus Class 14 · Procedural due process · pp. 436–443, 456–487

Goldberg v. Kelly 397 U.S. 254 (1970) · pp. 443, 460–462

> **Rule.** Due process requires that, before the state ends welfare benefits for a recipient whose eligibility is disputed, the recipient receive timely notice and an evidentiary hearing at which he can present his case orally and confront adverse witnesses before an impartial decisionmaker.

1. Recipients challenge actual or threatened welfare cutoffs

Likely question: Who were the plaintiffs, what benefits did they receive, and what did they dispute?

New York City welfare recipients had their assistance cut off or were threatened with a cutoff. Of the twenty people later named as plaintiffs or intervenors (people who join a suit already under way), fourteen received Aid to Families with Dependent Children (AFDC), which the federal government helped fund and the state ran. Six received Home Relief, a state and local program. Both programs were created by statute, and their eligibility rules made the payments something other than discretionary gifts.

Altagracia Guzman disputed whether she had to cooperate in suing her estranged husband. Juan DeJesus denied the drug use on which officials based their demand that he undergo counseling and rehabilitation.

The recipients filed two lawsuits, later consolidated (combined into one), alleging that their payments had been or would be stopped without prior notice and a hearing. When they filed, no rule required advance notice or a hearing. Some plaintiffs later got hearings or had payments resumed, but other eligibility disputes and threats of termination continued. The Court did not finally decide that every claimant was eligible.

2. The city adopts written review during the lawsuit

Likely question: Why was the full hearing available after the cutoff not enough?

Under the city's new procedure, a caseworker who doubted a recipient's eligibility first discussed the doubts with the recipient and then recommended termination to a supervisor. If the supervisor approved, the recipient received a letter giving the reasons and seven days to ask a higher official to review the decision. The recipient could submit a written statement to that official, alone or with help. If the higher official upheld termination, payments stopped and another letter explained why.

The recipient could not appear before that official, present evidence orally, or confront the witnesses against him. After the cutoff, an independent state hearing officer could hold a full "fair hearing," where the recipient could appear, present evidence, confront and cross-examine witnesses, and have a record made. A recipient who won got back the withheld benefits; one who lost could seek review in state court. No one challenged the validity of this later hearing itself. The question was whether its availability justified stopping subsistence aid before the recipient had any chance to present evidence.

A three-judge District Court (a special federal trial court) held that it did not. State officials were also defendants, but only the city's Commissioner of Social Services appealed. He accepted that due process (the constitutional guarantee of fair procedure before the government takes property) applied, but he disputed when the hearing had to occur and what form it had to take.

3. Brennan holds that subsistence needs require a hearing first

Likely question: Why could paying benefits back later not fully repair a wrongful cutoff?

Justice Brennan, writing for the majority, rejected the argument that statutory benefits lack constitutional protection because they are "privileges" (favors the government may withdraw at will). Qualified recipients held entitlements (benefits the law gives to anyone who meets its conditions), and when the state ended them it was officially deciding important interests. The opinion compared those interests to other forms of security that government creates, such as unemployment benefits, tax exemptions, and public employment.

The Court said the required process depends on the government function involved, how severe the loss is, and the government's interest in acting quickly. These payments provided food, clothing, shelter, and medical care to people who usually had no other resources. A cutoff could leave recipients desperate and less able to challenge the decision. Repayment later would restore the money but could not supply the necessities they went without in the meantime.

The government, the Court added, also benefits from accurate decisions that do not wrongly exclude eligible people. The Commissioner argued that prompt cutoffs saved public money, that hearings were costly, and that most terminations went unchallenged. The majority acknowledged the expense. It also acknowledged that the state often could not recover interim payments from people later found ineligible, because they were judgment-proof (too poor to pay a judgment). It nevertheless gave greater weight to subsistence and to

preventing error, noting that prompt hearings and efficient use of staff could reduce the burden.

4. The Court requires an informal but real pre-cutoff hearing

Likely question: Which protections did the hearing before cutoff need, and which did it not?

Because a full fair hearing would still follow, the hearing before termination could have a limited purpose: checking whether the agency's grounds were valid. It did not need a complete record, a comprehensive opinion, or courtroom formality. Alternatively, a state could avoid two proceedings by continuing payments until the full fair hearing was decided.

Notice had to be timely and adequate. The Court found nothing inherently wrong with the caseworker conference and the letter, and it did not hold that seven days was always too short, although circumstances could require more time. The defects were that the recipient could not present his case orally to the deciding official and could not confront and cross-examine adverse witnesses or test the evidence.

Many recipients could not write effectively or get help, and a written statement prepared in advance could not respond to the decisionmaker's concerns. Disputes over credibility required testing the testimony. Having the recipient's account relayed by the same caseworker who gathered the facts against him was not enough. The Court left open what process a purely legal dispute, with no contested facts, would require.

Recipients could hire their own lawyers, but the government did not have to appoint one. The decision had to rest on the evidence presented at the hearing and the governing law. The official had to give reasons and identify the evidence relied on, but did not need formal findings or a full opinion. The official also had to be impartial: some earlier involvement in the case was permissible, but having taken part in the decision under review was not.

5. Three dissents oppose writing the procedure into the Constitution

Likely question: Which feared consequences were the dissenters' predictions rather than holdings?

Justice Black dissented. He saw the payments as conditional assistance, not property the state had to keep paying while eligibility was disputed. More broadly, he thought that weighing which procedures were humane was legislative policymaking, unconnected to how the written Constitution divides power. He feared payments that could never be recovered, demands for appointed counsel and for continued aid through judicial review, and slower investigations of new applicants that would keep needy people off the welfare rolls. The Court did not require the extensions he predicted.

Chief Justice Burger, joined by Justice Black, wrote a dissent covering both this case and a companion case, Wheeler v. Montgomery. He preferred to let agencies experiment, pointing out that changing federal AFDC regulations already offered protections beyond the minimum ordered here. Rigid constitutional procedures, he warned, could block improvements or use up assistance funds. He also asked how the reasoning would apply to benefit reductions, denied increases, initial applications, and special aid. This decision did not answer those questions.

Justice Stewart's short dissent also covered both cases. He found the question close but considered the existing New York and California termination procedures adequate.

6. The affirmance secures a hearing, not eligibility

Likely question: What exactly did the recipients win?

On March 23, 1970, the Court affirmed. Justices Brennan, Douglas, Harlan, White, and Marshall voted to affirm; Justices Black, Burger, and Stewart dissented. Only eight Justices were serving at the time. The District Court's requirement of constitutionally adequate process before termination stood.

The recipients won protection against losing subsistence assistance before a meaningful chance to present evidence. The Supreme Court did not decide that each of them was eligible and awarded no damages, and the judgment did not later resolve the individual welfare disputes.

Limits. The decision does not require appointed counsel, a full judicial trial, or continued payment through every level of review. The dissents of Chief Justice Burger and Justice Stewart, both of which also covered the companion case Wheeler v. Montgomery, are described as the canonical brief reports them in its comparison with Wheeler; this account does not claim a new, independent review of a companion source.

Mathews v. Eldridge 424 U.S. 319 (1976) · pp. 456–465

> **Rule.** To decide what procedures due process requires, a court weighs three things: the private interest affected; the risk that the existing procedures will produce errors and how much additional or substitute safeguards would probably help; and the government's interest, including the fiscal and administrative burdens of added procedures.

1. Eldridge's benefits come under review

Likely question: What evidence did the agency gather before it proposed ending Eldridge's benefits?

George Eldridge began receiving disability-insurance benefits in June 1968 for chronic anxiety and a back strain. Diabetes was identified later. In March 1972, the state agency that monitored his case asked him about his condition and treatment. He reported no improvement and named his medical sources. After getting reports from his physician and from a consulting psychiatrist, the agency tentatively found that his disability had ended in May.

The agency's letter explained its reasons and allowed him to submit more information. It said his diabetes was controlled, his back limitations were not restrictive

enough, and no emotional condition kept him from all suitable work. Eldridge replied that he had arthritis of the spine, not a strain, and that the record already showed he was still disabled. The agency reaffirmed its finding, and the Social Security Administration (SSA) accepted it. A July notice said his benefits would end after that month and explained that he could ask for reconsideration within six months.

2. What the program offered before and after a cutoff

Likely question: What procedures did a recipient get before and after a cutoff, and which part did Eldridge challenge?

A worker qualified for disability insurance by having insured status (enough covered work history) and a medically determinable impairment (a condition shown by medical evidence) that prevented substantial gainful work (meaningful paid work), taking into account his age, education, and work experience. He did not have to show financial need separately. The procedures reviewed here applied when benefits ended because of medical recovery. The Court set aside the procedures used when benefits ended because a recipient returned to work.

Before a cutoff, a recipient could receive the agency's reasons and a summary of the evidence, and he could submit contrary evidence and argument. A representative he chose, including a friend or relative who was not a lawyer, could inspect the medical reports. The recipient himself could not then inspect them. The Secretary of Health, Education, and Welfare, the federal official who administered the challenged procedures, said that restriction was under review. The case therefore did not involve unrestricted personal access to the file.

After a cutoff, the recipient could seek reconsideration, then an evidentiary hearing (a hearing with live testimony and evidence) before an administrative law judge (an agency hearing officer), then possible review by the Appeals Council, and then review in court. A claimant who won recovered the missed benefits. But reaching a hearing decision could take more than a year, and a mistaken cutoff could cause serious hardship. Eldridge accepted this system as long as payments continued until the hearing. He objected only to the earlier interruption.

3. Eldridge sues without asking for reconsideration

Likely question: Why did the lower courts order the government to keep paying Eldridge?

Eldridge did not ask the agency to reconsider. He sued in the federal district court for the Western District of Virginia to have his benefits restored until he received an evidentiary hearing. The District Court restored them while the case was pending. It ultimately held that Goldberg, the Supreme Court's earlier welfare case, required a hearing before termination. It reasoned that the recipient's interest, together with possible disputes over medical and nonmedical facts, demanded that protection. The Fourth Circuit affirmed on the same reasoning.

The Secretary asked the Supreme Court to review both jurisdiction (the courts' power to hear the case) and the constitutional ruling. He argued that Eldridge had not exhausted his remedies, meaning he had not completed the agency's review process, and that under the Social Security Act this failure barred the courts from considering the case. So Eldridge first had to show a route into court before the Court could judge the procedure he wanted.

4. The Court lets the separate constitutional claim proceed

Likely question: How could a court hear Eldridge's claim when he had not finished the agency's review process?

Justice Powell wrote for the Court. Section 405(g) of the Social Security Act allows court review only of a "final decision." Powell divided that requirement into presentment (the claimant must have put a benefits claim to the agency) and exhaustion (the claimant must have completed every step of agency review). Under the Court's earlier reading in Salfi, § 405(h) barred ordinary federal-question jurisdiction (federal courts' general power over cases arising under federal law) over the benefits denial. But § 405(g) still allowed review here, because presentment could not be waived, while exhaustion could give way in appropriate circumstances.

Eldridge's questionnaire answers and written response presented a claim that his benefits should continue, although he never separately demanded an earlier hearing on constitutional grounds. The agency denied that claim. His constitutional issue was collateral to eligibility, meaning separate from it: a later win on the medical question would not answer whether he should have had a hearing sooner. He also colorably (plausibly) alleged harm in the meantime that back payments could not fully repair. For that collateral issue, the denial was final enough for review. This ruling favored Eldridge but did not decide whether his constitutional argument was right.

5. The majority weighs Eldridge's interest and an earlier hearing's value

Likely question: Why did the Court treat this case differently from Goldberg?

The Secretary conceded that continued benefits were a protected property interest (a legally protected claim to keep a benefit). The Court then asked what procedures were due. It weighed the private interest; the risk of error and the probable value of added safeguards; and the government's interests, including fiscal and administrative burdens. Due process required a meaningful opportunity to answer the agency's case, in a form suited to the context.

Because a claimant who won recovered back benefits, the private interest was in avoiding an interruption during review. Goldberg's welfare program was means-tested (limited to people who proved financial need), so

it identified its recipients as living at the margin of subsistence. Eligibility for disability insurance did not establish need in that way. The majority acknowledged that recipients had modest resources, had difficulty finding temporary work, and faced long delays. Its comparison concerned the program's recipients in general; it did not find that Eldridge could easily replace the money. It considered possible private resources and other assistance. It also recognized the objection that Supplemental Security Income (SSI) used the same definition of disability, so a cutoff could affect SSI too. Its references to state or local assistance, food stamps, and SSI's separate procedures did not establish that every worker who lost benefits actually obtained a substitute.

The majority thought disability decisions generally turned on medical examinations, reports, and documented limitations, so an early oral hearing would help less than in disputes about a person's own conduct or circumstances. It did not treat disability as purely medical. Age, education, work history, and available work also mattered, but a recipient could generally present those matters in writing. Some cases turned on credibility, but the Court judged the procedures by how they worked across cases generally.

The questionnaire, the statement of reasons, the evidence summary, the representative's access to the reports, and the written response let recipients answer the agency's actual grounds. Amici (outside parties who filed briefs) cited high reversal rates. The Court found those figures relevant but inconclusive, because they were calculated on different bases and because later proceedings could add evidence or new examinations. It refused to treat every reversal as an error that an earlier trial-type hearing would have prevented.

6. Government costs and later review complete the balance

Likely question: Did the Court allow benefits to stop without any chance to respond first?

On the government's side, the majority weighed the cost of more hearings, continued payments to people ultimately found ineligible, and the diversion of administrative resources. It did not treat any precise cost figure as decisive, and it did not hold that expense alone could defeat a procedure. Those burdens counted together with the private interest and the limited benefit the Court expected from an earlier evidentiary hearing.

The Court gave weight to the administrators' judgments but made its own constitutional assessment. In this system, written participation before the cutoff, an evidentiary hearing afterward, and review in court together gave recipients a meaningful opportunity to be heard. The Court did not remove notice or the chance to respond, and it treated the later hearing as essential. It rejected an additional Goldberg-type evidentiary hearing before the cutoff, not every form of participation in advance.

7. Brennan disputes the hardship; the Court reverses

Likely question: What did the Court actually decide, and what did it leave undecided?

Justice Brennan, joined by Justice Marshall, dissented. He would have affirmed the lower courts and required a hearing before termination. Relying on Goldberg and on his own dissent in Richardson v. Wright, he called the supposedly limited deprivation speculative. He thought that Congress, by providing disability benefits without a means test, had acknowledged recipients' need, and that courts should not discount it. Citing oral argument, he reported that Eldridge's home was foreclosed and his family's furniture repossessed. He rejected other possible assistance as an answer to losing this benefit. Those reports belong to his dissent; they are not additional findings by the majority.

Six Justices joined Powell's opinion; Justice Stevens did not participate. On February 24, 1976, the Supreme Court reversed the Fourth Circuit's injunction (the order requiring a hearing before the cutoff) because the challenged procedures satisfied due process. It did not decide whether Eldridge remained disabled, and it did not award him a fixed sum. The assigned casebook notes criticize the majority's emphasis on accuracy and its description of medical decisions; those criticisms are the editors' analysis. The jurisdiction ruling and the loss on the merits fit together: a plausible claim of harm from delay allowed the court to decide a claim that ultimately failed.

Limits. The Court reviewed the procedures used at the time when benefits ended because of medical recovery. It did not review terminations based on a return to work or the program's current practices. It did not decide whether Eldridge remained medically eligible. The reports of the foreclosure of his home and the repossession of his furniture come from Brennan's dissent, not from the majority.

Brock v. Roadway Express, Inc. 481 U.S. 252 (1987) · pp. 467–468

> **Rule.** Before a preliminary order temporarily reinstates a fired whistleblower, due process requires that the employer be told the allegations and the substance of the supporting evidence and be given a chance to respond, but it does not require a prior evidentiary hearing with confrontation and cross-examination of witnesses.

1. Roadway fires a driver and arbitrators uphold the firing

Likely question: What competing accounts of the firing started this dispute?

Jerry Hufstetler drove for Roadway Express, a large interstate trucking company, and had earlier made safety complaints. Roadway alleged that he disabled his truck's lights to collect extra pay while waiting for repairs, and on November 22, 1983, it fired him on that ground. Hufstetler denied the dishonesty charged

under his employment contract and said Roadway fired him in retaliation for his safety complaints. On January 30, 1984, arbitrators acting under the collective-bargaining agreement (the union contract) upheld the discharge.

Section 405 of the Surface Transportation Assistance Act of 1982 gave a separate protection to commercial transportation workers who reported safety violations or refused to drive vehicles that failed applicable safety requirements. Congress thought drivers were well placed to spot hazards but vulnerable to losing their livelihoods. Backpay after a long proceeding might not remove the fear that kept workers from reporting, so the Act required temporary reinstatement once the government had investigated and found reasonable cause (reasonable grounds to believe the firing was retaliatory). The employer could ask for an expeditious hearing and a final decision, but its request did not stay (pause) the reinstatement.

2. The Labor Department orders reinstatement without revealing its evidence

Likely question: What chance to respond did Roadway actually get?

Hufstetler filed his statutory complaint on February 7, 1984. A field investigator from the Occupational Safety and Health Administration (OSHA) notified Roadway, interviewed Hufstetler and other employees, and obtained statements supporting retaliation. Roadway could meet the investigator and submit a written explanation, and it repeated the dishonesty ground the arbitrators had accepted. Roadway was not told the other witnesses' names or the substance of their statements.

On January 21, 1985, the regional administrator found reasonable cause to believe the discharge was retaliatory and ordered immediate reinstatement with backpay. The order called Roadway's explanation conjectural but did not describe the supporting evidence.

Roadway sued in the Northern District of Georgia, which first granted a preliminary injunction blocking reinstatement and then granted summary judgment (a ruling without trial) declaring § 405 unconstitutional insofar as it allowed reinstatement without a prior evidentiary hearing. Separately, Roadway objected within the agency and requested the hearing the statute provided. An administrative law judge (an agency official who conducts trial-like hearings) held it in March 1985, and on August 21, 1986, the Secretary of Labor issued a final order requiring reinstatement and backpay. Review of that final order on the merits was pending in the Eleventh Circuit when the Supreme Court took up the separate procedural challenge.

3. The constitutional appeal survives the final order

Likely question: Why was the case not moot, and what interests and procedures did the Justices consider?

The Secretary appealed the district court's constitutional judgment directly to the Supreme Court under 28 U.S.C. § 1252, a direct-appeal provision then in force. Roadway's duty to reinstate now rested on the final order, but the dispute over the preliminary order was "capable of repetition yet evading review," an exception to mootness for disputes that recur but end too quickly to litigate. Preliminary orders lasted too briefly for full litigation, and a large carrier could reasonably expect to face another. The Court therefore addressed what process the preliminary stage required, not whether Hufstetler actually suffered unlawful retaliation.

The Secretary conceded that Roadway's contractual right to fire for cause was property protected by the Fifth Amendment's Due Process Clause. Justice Marshall's plurality (the lead opinion, joined by fewer than five Justices) accepted that concession. It rejected Roadway's claim to a constitutional property right to have arbitration alone decide the firing. Roadway could argue in the administrative case that the arbitration was preclusive (binding on issues already decided), and the court of appeals could review that question, but arbitration did not constitutionally displace the statute.

The statute said little about the employer's participation beyond notice. The practice used here allowed an explanation. New rules effective December 22, 1986, allowed written statements, affidavits, documents, a meeting with counsel, and statements from supporting witnesses. Neither required cross-examination at the preliminary stage or disclosure of adverse witnesses' names and statements. The Secretary nevertheless told the Court that established official practice was to disclose the substance of the supporting evidence. The plurality accepted that representation but found the practice had not been followed here.

4. Marshall weighs employer control against safety and livelihood

Likely question: Why did due process require a meaningful chance to rebut but no trial before reinstatement?

Justice Marshall announced the judgment in an opinion joined by Justices Blackmun, Powell, and O'Connor. The plurality applied Mathews v. Eldridge, which sets the process due in context by weighing the public interest, the private interests, the risk of error, and the value of added safeguards. Roadway had a substantial interest in controlling its workforce, but the district court had ignored Hufstetler's competing interest in his livelihood. Losing a job threatened his finances and future employment, and that interest reinforced the public interest in highway safety, which depends on protecting workers willing to report hazards.

In the plurality's view, a reliable preliminary check followed by a complete and expeditious later review could accommodate these interests. The preliminary check required notice of the allegations, the substance of the relevant supporting evidence, a chance to respond in writing, and a meeting with the investigator at which the employer could present rebuttal

witnesses' statements. Informal statements were enough at this stage; confrontation and cross-examination were not required. Two public-employment cases, Loudermill and the relevant opinion in Arnett, illustrated the difference between an initial answer and a later full hearing, and they confirmed that a meaningful answer requires knowing the evidence.

The plurality granted that cross-examination might test credibility better, but said it would also add delay and invite dilatory tactics (stalling) while the employee waited to recover his livelihood. The investigator only decided reasonable cause; final credibility judgments belonged to the hearing officer. That the later hearing had to be expeditious did not cancel the extra delay of holding it first, and the Department's already slow investigation did not justify more delay. Because Roadway never learned the substance of the evidence, however, it could not give a meaningful answer, and this preliminary order violated due process.

5. The plurality leaves open whether the final delay was too long

Likely question: What did the record fail to show about the timing?

The plurality did not approve indefinite delay after reinstatement. The new rules contemplated a hearing within thirty days of the employer's objections, an administrative decision within another thirty days, and a final order from the Secretary within 120 days, with qualifications and with the agency calling the periods directory (guidelines rather than binding deadlines). Excessive delay could independently violate due process.

Here, though, the injunction had kept the preliminary reinstatement from taking effect. The record did not explain the nineteen months before the final decision; litigation, the employer's incentives, or administrative inefficiency might have contributed. On that undeveloped record, the plurality declined to decide whether the delay or the regulatory periods were unconstitutionally long.

6. Brennan and Stevens want more process; White wants less

Likely question: How do the votes add up to a judgment without a seven-Justice rationale?

Justice Brennan agreed that withholding the evidence violated due process but would have affirmed the prior-hearing requirement. He thought the adequacy of initial process could not be separated from the speed of the final decision. Where material facts were disputed and prompt final review was not assured, a chance merely to deny or argue was not enough; he would have required confrontation, cross-examination, and the employer's own testimony before reinstatement. A genuinely prompt final hearing might justify less, but the rules allowed roughly six months and treated the deadlines as directory. Brennan acknowledged that the employer's interest was comparatively limited and had to be weighed against the worker's job and safety, yet he insisted on one of two safeguards: adversarial testing first or a quick final hearing.

Justice White, joined by Chief Justice Rehnquist and Justice Scalia, agreed that no prior trial was needed but would also have upheld withholding the supporting information. In his view, notice, a chance to respond, a reasonable-cause finding, and an adequate later hearing at a meaningful time were enough. Public-employment procedures could not be transplanted mechanically to this setting, and protecting employees who corroborated the complaint could justify withholding their information until the full hearing.

Justice Stevens would have affirmed the district court entirely. An eleven-month investigation and an order fourteen months after the discharge undercut any claim of emergency. Because the case turned on ordinary conflicting testimony, he favored a strong presumption of a public, adversarial hearing before a deprivation. He distinguished the government running its own programs from the government regulating private relationships, discussed better deadlines and resources as alternatives, and rejected comparisons to more objective or distinctive settings in which cross-examination had been relaxed. He read disclosure of the evidence to include witness names and summaries of testimony, and he saw the nineteen-month delay as an additional defect. Those particulars were his position, not part of Marshall's minimum requirements.

On April 22, 1987, the Court affirmed in part and reversed in part. Six Justices found the disclosure inadequate, and seven rejected an automatic trial-type hearing before reinstatement, but only four joined Marshall's full reasoning. The Secretary was the appellant (the party appealing) and Roadway the appellee, although the assigned reading's summary reverses those roles. The final ruling on retaliation remained in its separate appeal.

Limits. Six Justices found the disclosure inadequate and seven rejected an automatic trial-type hearing before reinstatement, but only four joined Marshall's detailed explanation. This appeal did not decide whether Hufstetler was in fact fired in retaliation, and it did not decide whether the unexplained delay before the final administrative decision was constitutional.

Board of Regents of State Colleges v. Roth 408 U.S. 564 (1972) · pp. 473–478

> **Rule.** Procedural due process (the requirement that government use fair procedures before taking something away) applies only when government deprives a person of protected liberty or property. A property interest requires a legitimate claim of entitlement (a legally supported claim to a benefit) based on independent rules or understandings, such as state law. Need, desire, or a one-sided expectation is not enough.

1. Roth receives a one-year teaching appointment

Likely question: What job security did Roth's appointment and the university's rules give him?

David Roth began his first teaching job, as an assistant professor at Wisconsin State University–Oshkosh, on September 1, 1968. He had no separate contract document; his formal notice of appointment served as the contract. It guaranteed him a job through June 30, 1969. It did not promise renewal or require cause (a job-related reason) for a later decision not to renew.

Wisconsin law gave a teacher permanent employment (tenure) after four continuous years, as long as he stayed efficient and behaved well, and protected tenured teachers from discharge without cause and without specified procedures. Roth had not earned tenure. University rules gave untenured teachers some review if they were dismissed during a school year. The rules treated that differently from nonretention, a decision not to rehire for the next year. For nonretention, the rules required notice by February 1 and expressly said no reasons or review were needed.

Before that deadline, the university president told Roth he would not be rehired for 1969–1970. Roth finished the year he had been promised. The university gave no reasons and no hearing. On this record, though, it did not accuse him of dishonesty, immorality, or similar misconduct harming his standing, and it did not bar him from other university jobs. Roth alleged that he was dropped in retaliation for criticizing the administration; the officials denied it. Justice Douglas later described a controversy over suspended students, but the Supreme Court did not find that Roth's criticism caused the nonrenewal.

2. Roth wins a hearing order while the motive stays disputed

Likely question: What exact question reached the Supreme Court?

Roth sued in federal district court on two theories: a substantive free-speech claim and a procedural due process claim. The court granted him partial summary judgment (a ruling on part of a case without a trial) requiring reasons and a hearing, but it left the university's true motive for trial. It weighed Roth's substantial interest in being rehired against the university's interest in acting summarily, without procedure. The Seventh Circuit affirmed, with one judge dissenting, and the university authorities obtained Supreme Court review.

Justice Stewart, writing for five Justices, limited the case to whether the present record showed a constitutional right to reasons and a hearing. Whether the university had retaliated was not a settled fact. The Court first had to find a protected liberty or property interest; only then could it decide what procedure was due.

3. Stewart first asks whether liberty or property is at stake

Likely question: Why didn't the importance of keeping the job settle whether Roth was owed a hearing?

The Court rejected the old idea that government could avoid due process by calling public benefits privileges. Jobs and benefits can be property, and liberty covers more than freedom from physical restraint. But the first question is what kind of interest the government has taken. Weighing the interest's importance against administrative needs helps design the procedure only after a court finds a protected interest was taken. Need, desire, and one-sided expectation do not by themselves create an entitlement.

For liberty, the Court asked what else the state did along with the nonrenewal. Seriously damaging accusations, such as dishonesty or immorality, could require a chance to clear one's name. Government-imposed barriers to a broader range of work could affect a person's liberty to pursue an occupation. The record showed neither. Losing one job, even if it made Roth somewhat less appealing to another employer, did not by itself show that the government had shut him out of his career. The lower courts had assumed it would, but no evidence supported that assumption. Actual blacklisting or damaging charges would present a different record.

A hearing to clear one's name also would not automatically give tenure. Even after disproving a charge, the employee might still be denied renewal for another permissible reason. Stewart thus separated the interest a hearing protects from a substantive right to the job.

4. A promised year is not a promise of renewal

Likely question: What independent source could have given Roth a property interest?

Property, the Court said, comes from independent rules or understandings that support a legitimate claim of entitlement. Welfare eligibility rules in a statute, tenure rules, an unexpired contract term, or implied assurances of continued employment can supply one. A claimant need not win the underlying dispute first: in Goldberg v. Kelly, welfare recipients had a statutory entitlement framework even though a hearing was needed to decide whether they qualified. Roth's problem was that nothing secured another year at all.

His appointment protected the stated year, which he completed. No statute, rule, policy, or established understanding in this record protected renewal. Roth argued that teachers on one-year appointments were usually rehired. The Court answered that the lower courts had not found that this practice created a binding institutional common law (an unwritten but enforceable custom). Frequent renewal is different from an enforceable right to it. The Court expressly referred to the companion case, Perry v. Sindermann, which recognized that sufficiently established

understandings could matter, so it did not make formal written tenure the only source of such a right.

Roth's speech claim stayed separate. Having no entitlement to renewal did not let the university refuse to rehire him in retaliation for speech. But the Court would not create a general hearing right just from an unproven allegation about motive and the surrounding controversy. It also took no position on whether good university administration calls for giving reasons and hearings voluntarily. The constitutional minimum did not decide best institutional practice.

5. The other Justices would give procedure a larger role

Likely question: How did the other Justices treat academic freedom, fairness, and state law?

Justice Douglas would have affirmed. He stressed academic freedom, the risk of hidden retaliation, and harm to a teacher's future career. Giving reasons and a chance to respond, he argued, could expose a pretext (a false cover reason) without forcing the employee to sue just to learn the explanation. He treated the practical consequences of nonrenewal like those of dismissal. He accepted academic proceedings going forward while the federal court kept continuing responsibility for constitutional questions. He recognized that whether the speech was protected and whether the reasons were sincere required factfinding, and he did not claim to resolve a motive that was never tried.

Justice Marshall accepted the general framework but read liberty and property more broadly. He argued that government must make employment decisions fairly, not arbitrarily, and that a person seeking a public job was entitled to it unless the government had a reason to refuse. That interest, he said, required reasons and a chance to contest the facts without separate proof of a promise. He added that legitimate decisions should already rest on reasons, suitable summary procedures could handle large numbers of cases, and regular procedure could expose mistakes and strengthen public confidence. This was his own proposed theory, not the majority's entitlement rule.

Chief Justice Burger's concurrence, printed after Perry and applying to both cases, emphasized express or implied contracts under state law. He proposed that federal courts abstain (let state courts decide first) when unclear state contract law controls the earlier question of whether an entitlement exists; the Court did not order that here. Justice Brennan, joined by Douglas, adopted Marshall's conclusion on procedure, would have affirmed Roth's summary judgment, and would have directed additional relief in Perry. Justice Powell took no part.

6. Roth loses the hearing order but keeps his speech claim

Likely question: What did the reversal actually decide?

On June 29, 1972, the Supreme Court reversed the Seventh Circuit and remanded. Roth had not shown a protected liberty or property interest strong enough to support summary judgment requiring reasons and a hearing. The Court did not find that the university's motive was constitutionally permissible, and it did not award damages or reinstatement. His separate retaliation dispute remained to be developed.

Roth decides whether an interest gets procedural protection; Mathews v. Eldridge decides how to design the procedure once such an interest is accepted. Even an established employment interest does not automatically require a full trial before the decision. Roth and Perry also separate a forbidden motive from a right to procedure and from final success in challenging a nonrenewal. Reading Roth as permission to drop any untenured teacher for any reason would erase those distinctions.

Limits. The case concerns nonrenewal after a term ended, not dismissal in the middle of a term. Retaliation remained an unproven allegation. The separate opinions shared with Perry appear after the Perry opinion in the official report. Justice Powell did not participate.

Perry v. Sindermann 408 U.S. 593 (1972) · pp. 478–482

> **Rule.** The government may not deny a benefit for a reason that punishes protected speech, even when the person has no right to the benefit. A property interest in continued public employment can rest on rules or on understandings both sides clearly shared, not only on formal tenure, but the employee’s own subjective expectation is not enough.

1. Sindermann teaches for years on one-year contracts

Likely question: What assurances did Sindermann claim beyond his contract’s end date?

Robert Sindermann taught in Texas public colleges from 1959 to 1969: two years at the University of Texas, four at San Antonio Junior College, and four at Odessa Junior College. From 1965 Odessa employed him to teach Government and Social Science under a series of one-year contracts, and for a time he was cochairman of his department. His long service was background, but it did not automatically give him tenure (a right to keep the job unless the school shows adequate cause).

Odessa had no formal tenure system. Its Faculty Guide nevertheless said the administration wanted teachers to feel permanently tenured as long as their teaching was satisfactory, they cooperated with colleagues and superiors, and they were happy in their work. Sindermann alleged that the college issued this assurance and encouraged teachers to rely on it. He also relied on guidelines of a statewide coordinating board. With some qualifications, those guidelines generally contemplated a probationary (trial) period of no more than seven years of appropriate full-time service, followed by continued tenured employment unless the college showed adequate cause. He still had

to prove whether the guidelines bound Odessa and which of his years counted.

2. Sindermann criticizes the Regents, who then decline to renew him

Likely question: Which explanation for the Regents' decision remained in dispute?

In 1968–1969 Sindermann became president of the Texas Junior College Teachers Association. He testified before legislative committees and opposed positions of Odessa's Board of Regents (its governing board). He supported making Odessa a four-year college, which the Regents opposed, and a newspaper advertisement carrying his name criticized them. Officials alleged that some of his legislative appearances violated instructions not to leave his classes. The record thus held two competing accounts, protected criticism and insubordination, and no court had yet decided between them.

When his contract ended in May 1969, the Regents voted not to renew it. They issued a press release accusing him of insubordination but gave him no official statement of reasons and no hearing to contest the decision. That public accusation was part of the record. It was not the result of a hearing, and the Supreme Court did not find that his liberty claim (that the action harmed his reputation or his freedom to work in his field) had succeeded.

Sindermann sued the Regents and the college president in federal court, claiming retaliation for his speech and denial of due process (the fair procedure required before the government takes liberty or property). The officials answered that his contract had expired and that he had no formal tenure. The court ruled on summary judgment (a decision without trial). The record held only the pleadings and three short affidavits (sworn statements) from Sindermann that largely repeated his allegations; the officials filed none. The district court nevertheless held that the contract's expiration and his lack of tenure left him no cause of action (no legal basis to sue).

3. The appeals courts reopen both constitutional claims

Likely question: Why could the speech claim proceed without a right to a future job?

The Fifth Circuit (the federal appeals court for Texas) reversed and remanded (sent the case back). It required a court hearing on the disputed motive and an examination of whether Sindermann had an expectancy of continued employment. Justice Stewart, writing for five Justices, agreed that the case must go back but narrowed what kind of expectancy counted.

The Court explained that the government may have discretion to deny a benefit for many reasons, but it may not withhold the benefit to punish protected speech. Otherwise it could impose indirectly a penalty it could not impose directly. The Court had already applied this principle to public employment and to nontenured teachers on one-year contracts. Sindermann therefore did not need to show a right to another job before challenging a retaliatory reason for denying him one.

That rule did not prove retaliation. The Court did not hold that every criticism is protected in every context, and it did not find that the insubordination charge was a pretext (a cover for the real reason). It held that his legislative testimony and criticism of public college policy raised a genuine constitutional issue under precedents protecting teachers' speech on public matters. The actual motive was disputed and the facts undeveloped, so lack of tenure alone could not support summary judgment.

4. The Faculty Guide may support a property interest, if proved

Likely question: What makes an institutional assurance different from an employee's hope?

The due process claim needed its own showing that liberty or property was taken. Losing one job did not automatically create a right to an administrative hearing, and neither did alleging retaliation. As in Board of Regents v. Roth, the companion public-employment case, the property question was whether independent rules or mutually explicit understandings (terms both sides clearly shared) supported a legitimate entitlement (a legally enforceable claim) to the job.

The Faculty Guide both denied formal tenure and used language suggesting security while stated conditions were met. Neither part settled the relationship. Sindermann could try to prove an institutional understanding from the college's words and conduct, the surrounding circumstances, and past practice. Ordinary contract law recognizes that a written document may not capture the whole relationship. A college that used one-year contracts even for senior faculty could develop an unwritten common law of tenure-like security. Repeated appointments, however, did not create a federal guarantee of renewal forever.

State law still decided the question. The Court said expressly that his theory would fail if Texas law gave a teacher in his position no contractual or other tenure claim. His decade of service and the coordinating-board guidelines were possible evidence, not conclusive promises. The Constitution protects entitlements that already exist; it does not supply every employment term a claimant wants.

The Court therefore narrowed the Fifth Circuit's "expectancy" language. A personal hope was not enough; the college's policies and practices had to support, objectively, an entitlement that the governing law recognizes. Sindermann's allegations defeated the officials' argument that only formal tenure could count, but they did not prove he should win. If he proved a property interest, he would get the hearing he requested to challenge the grounds for not retaining

him. The college could still show adequate cause, so reinstatement would not follow automatically.

5. Some Justices would have ordered a hearing immediately

Likely question: How much relief did the final judgment actually give Sindermann?

Chief Justice Burger joined the opinions in both Perry and Roth but stressed that contractual entitlements come from state law. He suggested that when state contract law is uncertain, federal courts should abstain (hold off) until state courts resolve it. His concurrence did not require Sindermann to bring a separate state lawsuit before this remand.

Justice Brennan, joined by Justice Douglas, agreed with the speech holding but adopted Justice Marshall's broader due process view. He would have modified the Fifth Circuit's judgment to require, right away, a statement of reasons and a chance to respond. Justice Marshall likewise would have entered summary judgment for Sindermann on his procedural right. Relying on his Roth dissent, he reasoned that government employment decisions must be reasoned and not arbitrary even without separate proof of a tenure promise. These Justices objected to the majority's demand for further proof of entitlement, not to letting the speech claim proceed. Justice Powell did not participate.

On June 29, 1972, the Supreme Court affirmed the Fifth Circuit's remand, qualified to require a legitimate entitlement rather than a subjective expectation. Sindermann could litigate the Regents' motive and try to prove de facto tenure (tenure in practice though never formally granted). The Court awarded no damages, did not declare him tenured, and did not order reinstatement. In Roth, the professor had won an order for procedure below without establishing a protected interest, and the Supreme Court reversed. Sindermann had lost below without being allowed to prove one. Because the cases came up from opposite sides of summary judgment, the same entitlement concept produced different results.

Limits. The sparse summary-judgment record did not establish retaliation, tenure, or a successful liberty claim. The Court ordered no reinstatement and no damages. Justice Powell did not participate.

Arnett v. Kennedy 416 U.S. 134 (1974) · pp. 486–487

> **Rule.** A federal employee past his probationary period who can be fired only for cause may be fired without a trial-type hearing beforehand, as long as he gets notice, a chance to respond, and a full hearing after removal. No majority held that Congress may define the required procedure at the same time it creates the job benefit.

1. A workplace accusation leads to a proposed firing

Likely question: Who accused whom, and which facts were still in dispute?

Wayne Kennedy was a field representative in the Chicago Regional Office of the Office of Economic Opportunity (OEO). He was a nonprobationary competitive-service employee: he had finished his trial period in a merit-system job and could be removed only for cause. The agency said he committed misconduct in five incidents during November and December 1971. The central allegation was that Kennedy publicly accused Regional Director Wendell Verduin and an assistant of offering a community-action representative a $100,000 OEO grant in exchange for a statement against Kennedy and another employee.

On February 18, 1972, Verduin sent Kennedy a notice of proposed adverse action (the formal first step toward firing him) charging those incidents. The notice said Kennedy had no proof for the central accusation, recklessly disregarded the facts available to him, and damaged the officials' authority and the office's functioning. Whether the offer happened, whether it was fairly called a bribe, and whether Kennedy acted recklessly all remained contested. The Supreme Court did not decide that Kennedy made the accusation up.

The notice attached the supporting material and told Kennedy he could inspect it, answer orally and in writing, and submit affidavits (sworn written statements). His lawyer instead demanded an impartial trial-type hearing, with confrontation of accusers, witnesses, a record, and findings, and argued that Kennedy's statements were protected speech. The lawyer said the conversations had been reported inaccurately but did not offer a different account of what happened. Kennedy did not appear in person to contest the charges.

On March 20, Verduin upheld the charges and announced that Kennedy would be removed effective March 27. He told Kennedy he could appeal within OEO or to the Civil Service Commission. The official who first decided to fire Kennedy was therefore one of the people Kennedy had allegedly accused. That fact later divided the Justices, as a question separate from whether the procedures were valid on their face, that is, in general rather than as applied to Kennedy.

2. The law gave a reply before firing and a hearing after

Likely question: What protections did the statute and the regulations provide together?

The Lloyd-La Follette Act, then 5 U.S.C. § 7501, allowed removal or suspension without pay only for cause that would promote the efficiency of the service. It required written charges and reasons, a reasonable time to answer in writing and submit affidavits, and a prompt written decision. Whether to hold a hearing or examine witnesses before removal was left to the removing official's discretion.

Regulations added at least thirty days' advance notice, a detailed statement of reasons, access to the evidence, a chance to respond orally as well as in writing, a statement of which charges were upheld, and notice of appeal rights. The oral reply was a chance to persuade the official, not an adversary trial. On appeal through OEO or the Commission, however, the employee got a full evidentiary hearing with sworn testimony and cross-examination. Rules governed who could participate, witnesses, the documents accepted into the record, transcripts or agreed summaries, and protection of witnesses from interference.

The two appeal routes could not run at the same time. An employee who appealed directly to the Commission gave up the agency appeal, while an employee who appealed within the agency could then seek Commission review. OEO ordinarily held its trial-type hearing after the employee had been removed. A reinstated employee received backpay minus what he had earned in the meantime. These protections came from the statutes and regulations together, including the Veterans' Preference Act and the executive branch's extension of its protections, and not from the original Lloyd-La Follette text alone.

3. Kennedy wins reinstatement without a trial on the facts

Likely question: What exactly did the district court decide?

Kennedy sued on March 27, 1972, asking for a declaration of his rights and an injunction. He challenged the lack of a full hearing before removal and alleged retaliation for his speech. A single district judge sent the constitutional question about procedure to a three-judge court and dismissed Kennedy's individual speech claim until he finished the agency appeal process (exhaustion of administrative remedies). Kennedy amended his complaint to argue that the law was facially vague and overbroad, meaning too unclear to tell employees what speech was forbidden and broad enough to reach protected speech. He added eighteen plaintiffs whose role was largely nominal. Class certification was put off.

The three-judge court granted Kennedy summary judgment, a ruling without a trial. It ordered reinstatement and backpay, required constitutionally adequate proceedings before any future removal, and barred enforcement of the Act and rules as regulations of competitive-service employees' speech. Kennedy's Commission appeal had been delayed by the lawsuit and ended after the court ordered him reinstated.

The government appealed directly to the Supreme Court. Because Kennedy won summary judgment even though the affidavits conflicted, Justice Rehnquist treated the government's version of the material facts as true for deciding the legal issues. The question was whether the scheme was unconstitutional even on the government's account, not whether the government had proved its accusations at a hearing on the merits.

4. Rehnquist ties the job right to its procedures

Likely question: Why was this influential theory only a plurality position?

Justice Rehnquist announced the judgment in an opinion joined only by Chief Justice Burger and Justice Stewart, so it was a plurality opinion (the lead opinion, but without majority support for its reasoning). He traced civil-service job security from the patronage system through the Pendleton Act, President McKinley's rule allowing removal only for just cause, and the 1912 legislation. Congress, he said, had expanded job protection while deliberately avoiding a required elaborate trial before removal.

Rehnquist applied Roth's principle that property interests are created by independent sources such as statutes. He recognized that Kennedy had an expectation of continued employment absent cause, but he held that the statute's method for deciding cause was part of that expectation and set its limits. Separating the job security from the procedure would give the employee a right Congress withheld in the same law. He also relied on decisions disapproving of a party who keeps a statute's benefits while attacking its vital conditions, while admitting that courts had applied that principle unevenly. On this view, the benefit came with its own limited enforcement procedure and did not require an adversary hearing before discharge.

Rehnquist distinguished cases on ending welfare benefits, garnishment (seizing wages for a debt), replevin (seizing goods before ownership is decided), and licenses, both because they involved different interests and because they lacked the procedural limits he considered part of this employment interest. Separately, he accepted that an unsupported charge of dishonesty accompanying a firing could harm reputation and so implicate liberty. But the hearing owed for that harm existed to let the employee clear his name, and a post-removal appeal could provide that chance even though it took more than three months in many cases.

Because of his property analysis, Rehnquist found it unnecessary to decide whether Verduin's personal involvement was unconstitutional. He also rejected Justice White's proposal to read a neutrality requirement into the statute. Supervisors commonly took part in workplace disputes, he said, and replacing a personally involved agency head could require an outside official, which did not fit Congress's relatively simple process. Only three Justices accepted this theory that the benefit and its procedure cannot be separated; six rejected it.

5. Powell and Blackmun uphold the procedures by weighing interests

Likely question: How could the result survive the rejection of the plurality's premise?

Justice Powell, joined by Justice Blackmun, agreed with the procedural result but rejected Rehnquist's premise.

Under Roth and Sindermann, a promise of removal only for cause created a legitimate entitlement, which is a protected property interest. A legislature could choose whether to create that interest, but once it did, it could not define away the safeguards the Constitution requires. Otherwise it could take away any property it created, without notice or hearing, just by writing that limit into the grant.

Powell instead weighed the competing interests. The government needed efficient work, discipline, functioning offices, and prompt removal of disruptive employees. Requiring a trial first could add expense and delay and discourage justified firings. Losing pay was a serious burden on the employee, but reinstatement and backpay were available, and he might have savings, other work, or welfare. Powell distinguished Goldberg, where ending welfare immediately threatened the recipient's subsistence.

In Powell's assessment, thirty days' notice, access to the evidence, an oral and written reply, affidavits, and a later full hearing reduced the risk of a mistaken first decision enough. Suspension with pay did not answer every concern about government cost or discouraging justified firings. He also rejected a requirement that the first decisionmaker be impartial: a supervisor often knew the facts best, and educating a new official could turn the screening step into a preliminary trial. An impartial decisionmaker at the post-removal hearing was enough. Powell applied the same weighing to the liberty claim.

6. White accepts screening but objects to Verduin deciding

Likely question: What narrower ground would have kept Kennedy's reinstatement in place?

Justice White agreed that the property interest and the procedure the Constitution requires were separate questions. He reviewed the history of hearings in takings of property, licensing, court attachments of property, public employment, and security cases, and drew a line between a temporary deprivation and a final decision. Risks that property would be destroyed or dissipated, or that someone would be endangered, could justify immediate action, but the fact that an interest came from the government did not eliminate the right to a hearing. A job protected by a for-cause rule differed from at-will employment, and the older reasoning that government benefits were privileges rather than rights had been undermined.

White weighed the risk of error, the harm of a temporary loss, delays on appeal, the danger created by advance notice, and costs to the government or private parties that would never be repaid. Studies showed that many personnel decisions were reversed and that appeals often took a long time. An employee could not abscond with a job, and suspension with pay could protect operations, though it cost the government money. White ultimately accepted advance notice and a written response as a preliminary screening for probable cause (a reasonable basis for the charges), followed by a full hearing with cross-examination on appeal. Goldberg's especially severe deprivation justified more process at the start in that case.

Verduin's direct personal stake was a different matter. His own reputation was at issue, yet he assembled the charges and decided to fire the man who made the accusation. White did not require a supervisor to step aside over an ordinary workplace disagreement. Using constitutional avoidance (reading a statute to avoid a serious constitutional problem), he would read the statute's silence to require a qualified, impartial official to make the first decision in circumstances like these. On that ground he would keep Kennedy's reinstatement and backpay while reversing the injunction against the speech standard. The five Justices who upheld the procedures rejected this neutrality requirement.

7. Six Justices reject the facial speech challenge

Likely question: Why did that ruling leave Kennedy's own speech defense undecided?

Justices Powell, Blackmun, and White agreed with Rehnquist's speech analysis, giving it six votes. The service-efficiency standard applied to many kinds of jobs and was a general job protection, not a criminal code. Congress did not have to choose between listing every kind of misconduct and giving no job protection at all. Established employment principles, the personnel manual, and access to agency lawyers gave the standard context.

Under Pickering, the government as employer has interests in its employees' speech that differ from its power over citizens generally. The opinion read "cause" to exclude constitutionally protected speech but to include speech that improperly harmed the agency's efficiency and reputation. On the government's assumed account, reckless and defamatory accusations, if satisfactorily proved, could justify removal. Because the challenge was facial, the ruling did not decide Kennedy's individual claim that what he actually said was protected.

8. Douglas and Marshall dissent on hardship and on speech

Likely question: What did the dissenters think a delayed hearing failed to protect?

Justice Douglas, writing separately, refused to sacrifice speech about public affairs because it offended supervisors or disturbed harmony. He warned that bureaucratic evaluation could reward conformity rather than useful work. He also discussed personal attacks and recusal (stepping aside from a case), the difference between institutional compliance and actual performance, and forbidden employment discrimination. Douglas also joined Justice Marshall's dissent, as did Justice Brennan.

Marshall would have affirmed both of the district court's grounds. Continued employment, retirement

benefits, salary increases, and insurance were substantial property, he said, and a firing could stigmatize the employee and make other work harder to find. Charges resting on disputed testimony required confrontation, cross-examination, defense witnesses, and an independent decisionmaker before removal. He pointed to reversal rates and delays on appeal, to Kennedy's debts and lost insurance, and to Kennedy's resort to public assistance despite his $16,000 salary. Backpay could not restore lost housing, education, or family stability, and welfare was neither immediate nor guaranteed and could require using up one's assets first.

Marshall also disputed the claim that administrative needs made a prior hearing impractical. Nine agencies already gave evidentiary hearings before removal. A study by the Administrative Conference of the United States recommended them and suggested that scheduling, rather than the length of hearings, caused much of the delay. A hearing could fit within the thirty-day notice period, leave or reassignment could contain disruption, and one adequate early hearing might reduce later proceedings. Verduin's combined roles, as an official Kennedy had accused and as the person who brought and decided the charges, showed why an informal reply was inadequate.

On speech, Marshall argued that the efficiency standard could discourage employees from truthfully exposing misconduct, which the legislation was partly meant to protect. Declaring protected speech exempt did not give enough guidance to employees other than Kennedy. He proposed clearer lines based on whether speech was official or private, whether it was true or reasonably believed, whether it addressed a matter of public concern, and whether it involved confidential information.

On April 16, 1974, the Supreme Court reversed the district court and remanded (sent the case back for further proceedings). Five Justices upheld the procedures and six rejected the facial speech challenge, but Rehnquist's three-vote theory that the benefit and its procedure cannot be separated did not become a majority rule. The assigned excerpt, which sets Rehnquist against Powell, leaves out much of this division. The Loudermill reading next to it concerns a separate, later decision.

Limits. The alleged bribe offer and Kennedy's supposed recklessness remained disputed. The Court assumed the government's version of the material facts only to test Kennedy's summary judgment. Five Justices upheld the procedures, six rejected the facial speech challenge, and only three adopted the theory that a statutory benefit cannot be separated from its procedures. This summary covers the historical 1974 decision, which is separate from Loudermill.

Cleveland Board of Education v. Loudermill

470 U.S. 532 (1985) · pp. 487

Rule. State law creates a public employee's protected interest in keeping his job, but federal due process decides how that job may be taken away: before firing a tenured public employee (one who can be fired only for specified causes), the employer must give him notice of the charges, an explanation of its evidence, and a chance to respond.

1. Donnelly is fired from his mechanic job after an eye test

Likely question: What happened to Donnelly's dismissal after he was fired?

Richard Donnelly was a bus mechanic for the Parma Board of Education. In August 1977 the Board fired him because he failed an eye examination and turned down an offer to retake it. The examination concerned driving buses, not repairing them. When the Supreme Court later reviewed his allegations, it saw no apparent emergency that required removing him immediately.

After a dispute over whether his administrative appeal was filed on time, the Civil Service Commission reinstated him without backpay (the wages lost while out of work). The Commission's actual decision was not in the record, and the parties and the lower court disagreed about its powers, so the Supreme Court did not decide why backpay was denied. Donnelly sued in federal court, alleging that he was fired without a chance to respond first.

2. Cleveland learns Loudermill's job application was inaccurate

Likely question: Why could a chance to explain have mattered for Loudermill?

The Cleveland Board of Education hired James Loudermill as a security guard in 1979. His application said he had never been convicted of a felony. Eleven months later, a routine record check turned up a 1968 grand-larceny conviction. The Board's business manager fired him by a letter dated November 3, 1980, accusing him of dishonesty, and the Board approved the firing on November 13. Loudermill had no chance to answer beforehand.

Loudermill admitted the application was inaccurate but said he had believed the conviction was a misdemeanor. He had received a six-month suspended sentence and a fine, which made that belief plausible, and his work had been satisfactory. The real question was therefore whether his mistake showed dishonesty serious enough to justify firing him, not simply whether his record contained a felony. His explanation might have changed that judgment, though it would not have guaranteed reinstatement.

Under Ohio's classified civil service law (the rules for tenured public jobs), Loudermill was entitled to keep his job while he behaved well and worked efficiently, and he could be fired only for specified causes. He appealed to the Civil Service Commission. A referee (a

hearing officer) heard the case on January 29, 1981 and recommended reinstatement. The full Commission heard argument on July 20 and upheld the firing. It issued findings in August, and his lawyer received notice on August 21. Loudermill could have sought review in state court. Instead he sued in federal court over the lack of a chance to respond before firing and over how long the review took.

3. The lower federal courts disagree about what Ohio's right includes

Likely question: How did the claims reach the Supreme Court?

The district court dismissed both suits for failure to state a claim, meaning the allegations, even if true, would not entitle the employees to relief. It first reasoned that the statute giving the employees a right to keep their jobs also set the procedures for firing them, so following the statute supplied all the process due. On reconsideration it used a balancing test instead but again dismissed.

A divided Sixth Circuit (the federal court of appeals) reversed on whether the employees were owed process before being fired. It agreed, however, in rejecting Loudermill's separate claims that the delay in his review denied due process and that the dishonesty charge deprived him of liberty by harming his reputation. Both school boards asked the Supreme Court to review the case, and Loudermill cross-petitioned on the rulings against him.

The school boards argued that any property interest (a legally protected claim to keep a benefit, here the job) existed only on the statute's terms, including its firing procedures. Requiring an extra chance to respond, they said, would enlarge the right Ohio chose to create. Cleveland also argued, late in the case, that because Loudermill got the job by dishonesty, he never had a right to it at all. The Court rejected that argument because it assumed disputed facts at the pleading stage (when a court looks only at the complaint) and ignored that he had been hired and held the job. The reason given for a firing cannot by itself remove the need for process.

4. White separates the source of the right from the source of procedure

Likely question: Why did Ohio's firing procedures not set the constitutional minimum?

Justice White, writing for the Court, recognized that the Constitution did not create the employees' property interest. Ohio created it independently by limiting when they could be fired. But once a state grants protected employment, federal due process limits how the state may take it away. Otherwise the constitutional guarantee would merely repeat whatever procedures the state chose and would impose no limit of its own.

In Arnett v. Kennedy, a plurality (Justices who wrote the lead opinion without a majority) had said that a person who accepts a statutory benefit takes its procedural limits along with it, "the bitter with the sweet." Six Justices in Arnett rejected that view, and later decisions confirmed that federal law imposes its own procedural requirement. The Court now said expressly that the substantive right to keep the job is separate from the procedures for taking it away. A legislature may decide whether to grant protected tenure, but once it does, it cannot define away the procedures the Constitution requires.

5. A short chance to respond can prevent a needless lost livelihood

Likely question: How did the competing interests shape the initial check the Court required?

Using the factors associated with Mathews v. Eldridge, the Court weighed the employees' interests, the government's interest in removing employees promptly and keeping administration manageable, and the risk of a mistaken decision. Losing a livelihood is serious because the loss can last while the worker looks for another job, and the circumstances of the firing can make that harder. A chance to respond could expose a factual error and could inform the employer's lawful choice about whether firing was appropriate. The employee did not have to show he would probably win in the end before getting that chance.

Donnelly's reinstatement suggested that an earlier chance to respond might have prevented a mistake. Because the Commission's final decision went against Loudermill, the Court could not call his firing a mistake, but the referee's favorable recommendation showed an arguable question. Employers also benefit, because a response helps them avoid mistaken firings, keep useful workers, and reduce disruption. A brief response need not cause long delay, and if an employee posed a significant danger at work, the employer could suspend him with pay.

This reasoning did not create a right to a hearing when a government decision is wholly discretionary, or a right to ask for leniency the law forbids. But where the employee has a protected right and the employer still has lawful discretion, a response can make the employer's choice better informed.

Because Ohio provided a full administrative hearing and judicial review after the firing, the pretermination stage (the stage before firing) could be an initial check for reasonable grounds to believe the charges were true and supported the proposed firing. It required oral or written notice of the charges, an explanation of the employer's evidence, and a chance for the employee to tell his side orally or in writing. A full adversarial trial with evidence was not needed at that stage. How much the initial check requires depends partly on the protections available later. The Court noted that the setting differed from the welfare setting of Goldberg v. Kelly, and it did not deny that process given only after the deprivation can be enough in other circumstances. These firings, however, did not justify skipping the earlier response.

6. Loudermill's separate delay and reputation claims fail

Likely question: Why did Loudermill's delay and reputation claims fail as pleaded?

Loudermill argued that the nine months of administrative review were by themselves a denial of due process. The Court agreed that a hearing must come at a meaningful time and that excessive delay can be unconstitutional. But his complaint only listed the dates and asserted that nine months was too long, without explaining why the delay was unreasonable. Some of the time reflected thorough procedures. The length alone did not state this separate claim. The Court did not hold that nine months is always permissible.

Loudermill also argued that the dishonesty charge hung over him during review and so deprived him of liberty by harming his reputation. But his complaint did not allege that the reasons for his firing were made public. That omission defeated the separate liberty claim without affecting his property interest or his right to answer before being fired.

7. Marshall and Brennan want more protection in some cases

Likely question: How did their disagreements differ from rejecting process before firing?

Justice Marshall joined Part II, which rejected the theory that state procedures define the process due. He concurred in the judgment because the employees received recognition of all the process they had requested. When the facts are substantially disputed, he would require that the employee be able to confront and cross-examine witnesses and present his own witnesses before his wages stop. Months of review could cause serious financial and personal harm, unemployment benefits were uncertain, and reinstatement might come without backpay. A minimal initial hearing could therefore leave an innocent worker with harm that could not be undone.

Justice Brennan joined Parts I through IV. He read the Court's initial check as depending on the circumstances, so that it might allow contrary evidence or confrontation of witnesses when needed for a meaningful response. He also agreed that nine months was not automatically acceptable.

Brennan dissented from dismissing the delay claim before the facts were developed. The defendants had not answered the complaint, and the record did not explain long gaps in the review. A backlog, the employee's own conduct, bad faith, or other causes could matter. Ohio's deadline for holding the hearing and shorter schedules elsewhere supported an inquiry. He questioned whether thoroughness explained the Commission's overturning the referee without new evidence. Under the pleading standard then in force and the Mathews factors, he would have let the claim proceed. He did not say the delay had already been proven unconstitutional.

8. Rehnquist keeps Arnett's view; the core claims go forward

Likely question: What relief did the Court actually grant?

Justice Rehnquist alone dissented from recognizing the claim for process before firing. He kept Arnett's view that tenure created by a state comes with its procedural limits as one statutory package. Accepting the limit on firing while ignoring the attached procedure, he thought, departed from the rule that state law defines property. He found nothing wrong with the particular balance struck here, but he considered the Court's method subjective and unpredictable across cases such as Goldberg and Mathews.

On March 19, 1985, the Court affirmed the Sixth Circuit in all respects and remanded (sent the case back for further proceedings). Chief Justice Burger and Justices Blackmun, Powell, Stevens, and O'Connor joined all of Justice White's opinion. Brennan joined Parts I through IV and dissented on delay. Marshall joined Part II and concurred in the judgment. Rehnquist dissented. Eight Justices thus supported the core claims for process before firing, while disagreeing about procedural details and the delay claim.

Because the complaints alleged that the employees had no chance to respond, dismissing those claims was wrong. The Supreme Court ordered neither reinstatement nor damages and made no final decision on whether the firings were justified. Further proceedings would follow now that the federal procedural right was recognized.

Limits. The case came up after the lower court dismissed the complaints. The Court recognized claims for process before firing without ordering reinstatement or awarding damages, and it did not approve every nine-month delay. No later outcome for the employees' jobs is reported.

Set B · Syllabus Class 15 (dated 10/21) · APA adjudication procedures · pp. 378–410

United States v. Florida East Coast Railway Co. 410 U.S. 224 (1973) · pp. 380–386

> **Rule.** APA §§ 556 and 557 (the formal, trial-like hearing provisions of the Administrative Procedure Act) govern a rulemaking only when a statute requires the rules to be made on the record after an opportunity for an agency hearing, or uses language that means the same thing. A statute that only authorizes an agency to act “after hearing” does not meet that test, and written submissions can satisfy that kind of hearing requirement.

1. Congress expands the ICC’s power to fix a freight-car shortage

Likely question: What problem led to this proceeding, and what did the statute say about hearings?

The country had a chronic shortage of railroad freight cars. In 1966 Congress responded by expanding the power of the Interstate Commerce Commission (ICC), the federal railroad regulator, under § 1(14)(a) of the

Interstate Commerce Act. A railroad that uses another owner's cars pays compensation, and that payment could now include incentives to encourage efficient use and return of cars and investment in an adequate supply. Congress told the ICC to consider national car ownership and other factors affecting supply. The ICC's existing power allowed it to act "after hearing." The amendment did not add a requirement that rules be made on the record (decided on a formal, trial-like hearing record).

An ICC investigation begun in 1966 did not produce enough information to build an incentive system. In December 1967 the ICC started this proceeding and required Class I and Class II line-haul railroads (the two largest size classes of railroads that haul freight over their lines) to collect detailed station data on car demand and supply during twelve four-week periods beginning January 29, 1968. Twenty railroads, including Seaboard Coast Line Railroad, attended an April staff conference on reporting methods and adjustments, and participants expected later hearings. In May 1969 members of Congress criticized the ICC for being slow to use its new power. These events explain why the railroads expected oral proceedings, but they did not by themselves create a statutory right to them.

2. The ICC asks for written evidence and refuses oral hearings

Likely question: What specific objections did the two railroads raise, and how did the ICC respond?

In December 1969 the ICC published an interim report and a proposed order setting incentive charges for standard boxcars. It allowed sixty days for verified statements of fact, briefs, objections, and other relevant submissions. A party requesting an oral hearing had to explain the need and describe the evidence it would present. Florida East Coast Railway and Seaboard each filed objections and asked for a hearing.

Florida East Coast attacked the statistics supporting the shortage finding and argued that terminating railroads (railroads where shipments end) had surplus standard boxcars and should be treated separately. Seaboard objected to the ICC's shift from specialized cars to standard boxcars and claimed the order would cause it severe financial harm. Justice Douglas's dissent later described Seaboard's claimed loss as $1.8 million. These remained the railroads' assertions; no court found that the study failed or that the loss was proved.

In April 1970 the ICC changed parts of its proposal, denied the requests for oral hearings, and issued its final order. It considered the submitted positions and left room to modify the system later based on experience. The order set future compensation nationwide; it did not decide a dispute over one railroad's unpaid bill.

3. The District Court holds that formal hearing rules apply

Likely question: What question did the Supreme Court have to answer first?

The railroads sought review before a three-judge District Court in the Middle District of Florida. That court read § 1(14)(a) as requiring the formal procedures of the Administrative Procedure Act (APA), the statute that sets default agency procedures. It found that accepting only written submissions prejudiced (unfairly harmed) the railroads under APA § 556(d), and it set the order aside without reaching their other objections.

The government appealed. In the meantime, the Supreme Court had decided United States v. Allegheny-Ludlum Steel Corp., which interpreted the same hearing language in this statute. Justice Rehnquist's opinion for the Court therefore began with a prior question: did APA §§ 556 and 557 apply at all? Asking whether the railroads were prejudiced under a formal-hearing provision could not supply the statutory trigger that makes that provision apply.

4. What the agency must consider versus how it must proceed

Likely question: Why did the 1966 amendment not require formal rulemaking?

Under APA § 553(c), when a statute requires rules to be made on the record after an opportunity for an agency hearing, the formal procedures of §§ 556 and 557 replace ordinary rulemaking procedure. Equivalent language can also trigger them; Congress need not recite a magic formula. But Allegheny-Ludlum had held that this statute's phrase "after hearing" was not equivalent. The 1966 amendment added substantive factors about car supply, not a new hearing requirement.

The railroads pointed to Congress's directive to consider car ownership and adequacy. The Court answered that such a directive does not tell an agency to learn about them through oral testimony or cross-examination; written evidence can address those subjects. The Court thus enforced the APA's distinction between ordinary rulemaking and the narrower category that requires formal procedures. It rejected two opposite positions: that every statutory mention of a hearing automatically requires formal procedures, and that Congress must use one exact form of words.

5. The railroad statute's own hearing requirement is still satisfied

Likely question: Even without the formal APA procedures, why did the written process satisfy § 1(14)(a)'s own hearing requirement?

Holding the formal APA provisions inapplicable did not end the case, because § 1(14)(a) of the organic statute (the law that gives the agency its power) has its own hearing command. The Court read that command in its rulemaking context, using the APA's different procedures as guidance. Section 553 allows written participation with or without oral presentation, and even § 556(d) allows some written evidence when its

conditions are met. So “hearing” did not always require testimony, cross-examination, or oral argument.

The ICC had disclosed its proposal and its factual basis, allowed sixty days for evidence and legal arguments, and considered the railroads’ submissions. That differed from earlier decisions resting on undisclosed grounds or inadequate notice of the case a party had to meet. The Court upheld the opportunity actually provided, not a token invitation the agency never meaningfully considered.

Two constitutional cases helped the Court interpret the statute, even though the railroads made no constitutional deprivation claim (a claim that the government took their property without due process of law). Londoner involved a small group specially assessed on individual grounds; Bi-Metallic involved a general valuation adjustment. Here the ICC set future compensation nationwide without singling out any railroad on its particular facts. The rule did not become an individual adjudication (a decision resolving one party’s case on its own facts) because it hit some railroads harder, because Florida East Coast asked for special treatment, or because the ICC drew factual inferences.

The ICC could choose more procedure than the minimum, but its staff’s earlier expectation of hearings did not control the statute’s meaning. The Court did not decide when an agency’s procedural promise might be enforceable, and it did not deny Congress power to require formal procedures for general rules.

6. Justice Douglas would require fuller procedures for disputed financial burdens

Likely question: How did the dissent view the same proceeding?

Justice Douglas, joined by Justice Stewart, would have affirmed the District Court. He stressed the specific objections, the disputed statistics behind the shortage finding, the change in car types covered, and the potentially severe financial obligations. In his view, the hearing language and the facts the order depended on required the fuller procedures of APA §§ 553, 556, and 557, and written submissions were not a harmless substitute here.

Douglas believed ratemaking can be both legislative (setting general policy for the future) and adjudicative (deciding facts about particular parties). Applying only to the future did not remove the need to establish the facts justifying mandatory payment obligations. Legislative history, earlier hearing cases, and the ICC’s initial understanding supported him. Because the agency had broad discretion and courts review it deferentially, he thought fair agency procedure mattered all the more. His views on the disputed statistics and the need for cross-examination are not part of the Court’s holding.

7. The Court sends the remaining challenges back to the District Court

Likely question: What did the reversal accomplish, and what did it leave open?

On January 22, 1973, the Supreme Court reversed the judgment setting aside the order on this procedural ground and remanded (sent the case back) for decision of the railroads’ remaining objections. It did not order a new oral hearing or finally uphold every feature of the rates. Justice Powell did not participate, and no separate concurrence was reported.

The casebook’s discussion of generality, prospectivity (whether a rule applies only to the future), and legislative facts (general facts that inform policy) versus adjudicative facts (facts about particular parties) is the editors’ organization, not an additional multi-factor holding by Justice Rehnquist. The result rests on this statute’s text, this nationwide rule, and the meaningful written procedures the ICC actually provided.

Limits. The railroads made statutory procedural claims, not a constitutional deprivation claim. The decision does not resolve every substantive challenge to the incentive system, and it does not hold that every statutory mention of a hearing permits written procedures alone.

Marathon Oil Co. v. Environmental Protection Agency 564 F.2d 1253 (9th Cir. 1977) · pp. 388–394

> **Rule.** When a statute requires a public hearing in an agency adjudication that decides disputed facts, the hearing can trigger the Administrative Procedure Act’s formal procedures in sections 554, 556, and 557 even if the statute does not use the words “on the record,” and the agency may not rely on undisclosed material that is outside that record.

1. Cook Inlet operations produce several different kinds of waste

Likely question: Why might a treatment standard that fits one operation fail to fit another?

Marathon, Union, Atlantic Richfield, Mobil, and Shell operated oil and gas facilities in Alaska’s Cook Inlet. Two consolidated cases (cases joined for decision) concerned offshore platforms, which produced deck drainage, produced water (water that comes up with the oil and gas), and sanitary waste. A third case concerned three onshore plants that separated crude oil and gas from produced water pumped ashore. At the time, every platform sent its produced water ashore, though offshore discharge was expected; some already discharged deck drainage offshore.

The Federal Water Pollution Control Act prohibited discharging pollutants without a permit. Section 402 authorized permits that included the controls required by section 301, among them the best practicable control technology currently available (abbreviated BPCTCA in the opinion). The Environmental Protection Agency (EPA) had to identify the performance that technology could achieve when used as well as the best operators use it, and could not demand more than the

statutory standard required. What a facility could achieve depended on which waste stream it was treating and under what operating conditions. Alaska eventually waived its right to certify the permits.

2. The applications move from the Corps to EPA hearings

Likely question: Which agency decisions set the final limits the companies challenged?

The companies first applied to the Army Corps of Engineers. Before the Corps decided, the 1972 Act transferred the permitting system to EPA, so in 1973 they applied under section 402. EPA's Regional Administrator in Seattle circulated draft permits, held informal hearings, and tentatively issued limits. The applicants then received adjudicatory hearings (trial-like hearings that resolve disputed facts about particular parties) before an administrative law judge, with cross-examination. Shell had a separate hearing on its offshore permits. After the judge certified the records and the Regional Administrator issued initial decisions, the companies sought review by the Administrator, EPA's head.

In September 1975 the Administrator relaxed some of the numerical limits. He rejected the companies' requests for formal exceptions for unavoidable upsets (pollution spikes the operator cannot prevent) and for broader maintenance bypasses (routing waste around the treatment equipment while it is being maintained). The final limits for offshore deck drainage were 65/90 milligrams per liter, with an alternative standard measured in pounds per day. The limits for produced water were 48/72 milligrams per liter, for both offshore and onshore facilities.

The operators petitioned for judicial review. They disputed the technology and the statistical baseline (which facilities and operating conditions EPA measured). They objected to EPA's reliance on undisclosed data and an internal memorandum. They argued that the permits seemed to demand perfect compliance although EPA's own model predicted unavoidable excursions above the limits. And they challenged the Regional Administrator's deciding a matter after issuing the draft permits himself. They objected to the procedure and to the fit between evidence and limits, not simply to strict numbers.

3. Sneed holds that formal APA procedures applied

Likely question: Why did the statute's failure to say "on the record" not settle whether formal procedures applied?

Judge Sneed's opinion held that sections 554, 556, and 557 of the Administrative Procedure Act (APA) governed. Those sections set out formal adjudication, a trial-like process in which the decision must rest on the hearing record. EPA admitted that these permit decisions were adjudications. But it argued that section 402 required only an opportunity for a public hearing, without expressly saying the decision must be made on the record. The court rejected the idea that Congress had to use a fixed verbal formula.

These were individual permits resting on disputed facts about what particular dischargers could achieve, unlike industry-wide guidelines for the future. Adversarial procedures, in which each side tests the other's evidence, could improve the agency's fact-finding and make meaningful judicial review possible. Direct review in the courts of appeals also supported an implied requirement that EPA decide on a record. The court read the statutory context and the APA's history as separating matters needing formal safeguards from business-like administration.

The court qualified its interpretation. If a statute required no hearing at all, or evidence showed contrary congressional intent, the result could differ. Precedents on legislative rulemaking (agencies writing general rules) did not control this adjudicatory setting. The court also rejected the Seventh Circuit's view that APA section 558(c) by itself required formal hearings for every license the law requires. Section 558(c) required timely completion of proceedings that other law required; it did not create a new duty to hold a hearing.

4. Formal process does not require the hearing judge to decide first

Likely question: Why did the majority reject the statutory and constitutional objections to the Regional Administrator making the initial decision?

The applicants argued that APA sections 554(d) and 557(b) required the administrative law judge to make the initial decision or recommend one. The court answered that no discharge permits had been issued before, so these were applications for initial licenses, and the APA's exceptions for such applications allowed EPA's arrangement even though the other formal safeguards applied.

On the applicants' constitutional bias claim, the majority found no showing of an unacceptable risk of bias. The Regional Administrator's earlier role resembled the permissible combination of investigating a matter and then adjudicating it. The majority would not presume that an official cannot reconsider a tentative position after more evidence. Its reliance on the presumption that administrators act objectively did not establish that all review of one's own decision is constitutional.

5. Flotation technology stands, but limits must fit actual operations

Likely question: Which deck-drainage findings survived review, and which did the court send back?

The court reviewed for substantial evidence (evidence a reasonable person could accept as adequate), which this 1977 opinion described as more demanding than arbitrary-and-capricious review (whether the agency acted irrationally). It accepted EPA's general method of studying exemplary facilities and using statistical intervals to account for variation. A Brown and Root study of produced-water treatment did not by itself prove the best technology for deck drainage. But other testimony and comparisons of performance supported

flotation systems for that waste stream. That a different reasonable conclusion was possible did not defeat substantial evidence.

EPA could use exemplary platforms, but it could not leave out normal drilling, rig-moving, and cleanup periods, which produce higher oil and grease concentrations, and then assume the resulting limits could be met during those operations. On remand, EPA had to support limits accounting for those activities or reopen proceedings to show the existing limits could be met. A separate seasonal-data objection failed: EPA adequately considered Mobil's winter and early-spring data and properly excluded Shell winter observations affected by correctable contamination.

The uniform pounds-per-day alternative also lacked support, because flows varied greatly between platforms, and what one installation could achieve did not show what another could. Letting operators choose concentration limits instead did not cure an unsupported alternative. The existing poundage limits were to be eliminated, though EPA could adopt new ones supported by evidence introduced at an adjudicatory hearing.

6. Undisclosed data reopens the produced-water limits

Likely question: What did the court accept about EPA's statistical analysis, and what did it require EPA to redo?

Because no Cook Inlet platform then discharged produced water offshore, EPA used data from the Gulf of Mexico. The companies accepted that source and flotation technology but disputed EPA's statistical adjustments and assumptions. On the visible record, the court found no substantive error in the adjustments or in EPA's treating the data as lognormally distributed (following a particular skewed statistical pattern). It accepted the exclusion of small samples, outliers (extreme readings), startup observations covered by a grace period, and preventable-malfunction data.

EPA had, however, also relied on an additional year of data that it never disclosed, and on an internal memorandum by its statistician Gary Liberson, without letting the companies challenge either. The court could not assess the new data's source or integrity, and informed comments might have changed EPA's view. APA section 556(e) confines a formal decision to the hearing record, and that limit mattered both for the parties' participation and for reliable review.

On remand, EPA had to disclose the data and reopen hearings on the data and memorandum for both offshore and onshore permits. It could then reaffirm or revise its limits. The court neither chose replacement numbers nor condemned every statistical choice.

7. Unavoidable upsets must be addressed in the permit itself

Likely question: How did the court treat unavoidable upsets differently from bypasses for routine maintenance?

EPA's own model predicted that even exemplary technology would meet the produced-water limits only 99 percent of the time and the deck-drainage limits only 97.5 percent of the time. Yet the permits demanded compliance at all times. The court required formal upset provisions covering excursions beyond the permit holder's control. EPA's discretion not to prosecute was not enough, because EPA could change its practice and private citizens could enforce the permits regardless. EPA could place a reasonable burden of proof on the holder. The ruling did not grant an unconditional allowance of pollution days.

The court declined to require a general exception for maintenance bypasses. Ordinary maintenance often could be done without bypass, using storage or diversion to shore. Shutting in a producing well (closing it off), however, could damage the oil reservoir and permanently reduce how much could be recovered. EPA suggested that the permits' existing exception for severe property damage might cover that risk. The court required EPA to clarify that, in appropriate circumstances, shutting in a well could count as severe property damage that permits a bypass when there is no other alternative.

8. Wallace dissents on due process

Likely question: Why did Judge Wallace think the Regional Administrator was reviewing his own adjudication?

Judge Wallace agreed with the statutory analysis and the remand, but he dissented on due process. The ongoing businesses were protected property, he reasoned, and restrictive permits could impair them just as denial could halt operations. He also suggested that the permitting statute might create an entitlement (a legally protected claim) to a permit that would qualify for due-process protection.

Wallace saw the draft permit and the later review as two adjudications, not as an investigation followed by a first adjudication. The draft became final unless challenged, and EPA's regulations described the later proceedings as reconsideration. He read Withrow v. Larkin, a Supreme Court decision, as allowing one official to investigate and then adjudicate, while treating review of one's own prior adjudicatory decision differently. A different reviewer, he argued, would cost little compared with the companies' possible business losses.

Judge Sneed and District Judge Zirpoli formed the majority that rejected Wallace's Fifth Amendment theory. On November 21, 1977, the panel's shared statutory directions required EPA to reconsider deck-drainage limits for drilling, rig-moving, and cleanup periods; to remove the unsupported poundage limits unless new evidence supported them; to disclose the produced-water data and reopen those proceedings; to add upset provisions; and to clarify the bypass provision. The court did not vacate the entire program or give the companies the limits they wanted. What later happened to the permits is not established here.

Limits. The judgment was a limited remand, which sent the case back to EPA for specific corrections. It did not invalidate the permits wholesale, and the court did not choose replacement numerical limits. Source pinpoints follow the paragraph numbers of the reproduction of the opinion that was reviewed. No claim is made about how the permits turned out later.

Office of Communication of the United Church of Christ v. Federal Communications Commission 359 F.2d 994 (D.C. Cir. 1966) · pp. 395

> **Rule.** Responsible representatives of the listening public may have standing (the right to take part as a formal party) to intervene in a proceeding to renew a broadcast license. The Federal Communications Commission still keeps broad discretion to regulate how they participate. Separately, the Commission must hold a hearing when it cannot make the finding, required by statute, that renewal serves the public interest.

1. Complaints pile up before WLBT seeks renewal

Likely question: What did the Commission know about the station's past performance?

WLBT was a television station in Jackson, Mississippi. Lamar Life Broadcasting Company held its license. Complaints went back to 1955, when the station allegedly cut off a network program on race relations featuring the General Counsel of the National Association for the Advancement of Colored People (NAACP) and substituted a "cable trouble" notice. A 1957 complaint alleged that WLBT broadcast a program supporting segregation and then refused to air an opposing presentation.

In an earlier renewal cycle, the Federal Communications Commission (FCC, or the Commission) delayed acting and found that WLBT had violated the Fairness Doctrine (an FCC policy of the time requiring broadcasters to cover public controversies and air opposing views fairly). It still renewed the license because it saw the violations as isolated. After the September 1962 disturbances at the University of Mississippi, new complaints alleged one-sided coverage of racial integration. The Commission asked for detailed reports in 1963. On March 3, 1964, with those matters still pending, WLBT filed the renewal application at issue.

This history consisted of complaints and the agency's record; no court had taken evidence and found that every incident happened. Even so, past performance mattered, because the Commission could renew only if it found that renewal served the public interest.

2. Church and civil-rights leaders ask to join as parties

Likely question: Who were the challengers, and whose interests did they claim to represent?

The national Office of Communication of the United Church of Christ, its Tougaloo congregation, Aaron Henry, and Robert L. T. Smith petitioned to intervene (to join the renewal proceeding as formal parties). The national church said it had many members in the service area, and the local congregation was located there. Henry and Smith were Mississippi residents who owned television sets; one lived in WLBT's prime service area. Both were civic and civil-rights leaders who had protested the station's refusal to give them time to respond. Henry was president of the Mississippi NAACP.

The petition alleged excessive commercials and entertainment, unbalanced treatment of controversial issues, and racial and religious discrimination. Black residents made up almost forty-five percent of the prime service area, and the petition alleged that the station covered that community inadequately and disrespectfully and discriminated against local Catholic activities. A study monitoring a typical week of programming supplied the details.

The challengers asserted their own interest, because the station had denied them chances to respond; the interests of the excluded communities; and the whole audience's interest in balanced programming run in the public interest. Lamar Life intervened to defend the renewal.

3. The Commission grants a one-year trial renewal without a hearing

Likely question: Why were the challengers still aggrieved even though the Commission promised corrective measures?

The Commission denied intervention because the challengers had not suffered a direct and substantial invasion of a legally protected interest different from the general public's. It said it ordinarily considered such complaints without making the complainants parties, and had done so here. After reviewing the station's responses, it acknowledged serious public-interest concerns and called the hearing question close. It nonetheless held no hearing and renewed the license for one year beginning June 1, 1965, instead of the usual three.

The Commission hoped an improved station could immediately help ease Jackson's racial problems. It required WLBT to comply strictly with the Fairness Doctrine, keep the promises it had made to the Commission, promptly meet with community leaders including the challengers, stop discriminatory programming, and file detailed reports. The year was a probation period.

The challengers argued that the record required a hearing. The Commission defended its decision as a policy choice, saying it had in effect accepted the allegations as true and imposed corrective measures. It also argued that this acceptance left the challengers without standing to appeal. The court rejected that argument: the parties still disputed the relief the challengers sought, and the denial of a hearing and of intervention left them aggrieved (harmed by the decision in the way a party must be to appeal).

On appeal, WLBT and the Commission argued that the station's later performance proved the experiment had

worked; the challengers denied any improvement. The court decided the case only on the record before the Commission and left open whether WLBT's conduct after June 1965 could later help it.

4. Burger rejects limiting standing to money and signal-interference injuries

Likely question: Why could listeners contribute something the agency could not supply on its own?

Judge Burger wrote for himself and Judges McGowan and Tamm. Earlier cases had allowed intervention for economic injury (harm to a competitor's business) or electrical interference (with another station's signal). Burger explained that those cases resolved particular disputes and did not close the list for good. Competitors could participate because they could bring public-interest concerns forward, and educational or nonprofit broadcasters could have relevant nonfinancial interests. The aim was to serve the public interest that communications law protects, not to create private property rights in broadcasting. In this litigation the parties treated intervention before the agency and standing to appeal as one question; the court did not hold that the two tests are identical in every setting.

Congress had feared obstructive or selfish protests, but it had not expressly limited participation to financial or interference injuries, and those categories did not themselves guarantee public-minded conduct. Cases allowing consumers to take part in proceedings about rates, transportation, products, and conservation supported considering listeners, who had an immediate concern with programming and a collective investment in their receiving sets. Whatever the differences between broadcasting and utilities or newspapers, a broadcaster received free, exclusive use of a limited public resource and took on enforceable public obligations.

The Commission's own duty to protect the public did not make outsiders unnecessary. It could not monitor every station constantly, and it had encouraged communities to watch their stations. Responsible parties could develop claims for the agency to decide, so the government need not originate every accusation. Letters, complaints, and testimony allowed at the Commission's discretion did not substitute for party status where the challengers' sustained efforts had exposed problems that earlier renewals largely failed to address.

At renewal, the agency could compare a station's actual performance with its promises. Viewers might also be the only objectors: a town's only station had no local rival, and competitors elsewhere might stay silent for strategic reasons or in hope of the same restraint in return. People willing to bear the cost of intervening could be the public's only effective advocates.

5. Responsible listeners may intervene, under Commission controls

Likely question: What exactly did the court hold about who may participate?

The Commission kept broad power to regulate participation by responsible representatives. It could limit their number, judge each one's usefulness in light of the other participants and the issues, consolidate filings, and screen out protests that were captious (petty), obstructive, or disguised private interests. Civic and professional groups, unions, churches, and educational institutions could be useful representatives, but the court gave no complete list.

A petition still had to state specific facts showing that the petitioner was a party in interest (someone with a real stake in the outcome) and a prima facie conflict (one apparent on its face, before full proof) between the proposed grant and the public interest. The holding required standing for one or more of these appellants as responsible representatives able to assert and prove their claims. It did not hold that all of them qualified or that any viewer could intervene automatically. The purpose remained the audience's broad interest in the licensee's performance of its public trust.

6. Hope for reform cannot replace the required public-interest finding

Likely question: Why was a hearing required even apart from the intervention question?

Section 309(e) of the Communications Act required a hearing when a substantial and material question of fact existed or when the Commission could not, for any reason, make the required public-interest finding. Even if accepting the allegations removed any factual dispute, it did not affirmatively show that renewal served the public. Past performance was the strongest factor on renewal, and a station with WLBT's record carried a heavy burden to explain why renewal was still in the public interest.

The Commission found only that WLBT could serve the public if it changed. The conditions mostly repeated duties every licensee already had, and WLBT had denied the allegations rather than admitting failures and showing willingness to reform. Hope, the court said, is not evidence. It left room for experiments or calculated renewal risks when a licensee admits its errors, but this record gave no basis for one. Within the Commission, FCC Chairman Henry and Commissioner Cox had favored a hearing as of right; Chairman Henry was a different person from the challenger Aaron Henry.

The record also did not adequately support the premise of urgent local need. The Commission had not considered relying on Jackson's other station for an interim period or temporarily authorizing a different operator. The court named those options to expose gaps in the reasoning, not to choose among them. WLBT's performance and qualifications required a hearing.

On March 25, 1966, the Court of Appeals for the District of Columbia Circuit (D.C. Circuit) reversed the one-year renewal. It remanded (sent back) the record for hearings with intervention consistent with its limited holding, and it retained jurisdiction (kept the case open to supervise what followed). No separate opinion was reported. The court did not award the channel to anyone else, did not bar every future application by WLBT, and did not decide what effect the station's later improvement should have. The Fairness Doctrine and license provisions described here are those used in this historical decision.

Limits. The complaints against WLBT were not findings by a court proving that every incident happened. The court required the Commission to allow participation by one or more responsible representatives of the audience; it did not give every viewer an unconditional right to intervene. The court did not award the channel to another operator, and it did not decide how the station's later improved performance should count.

Ashbacker Radio Corp. v. Federal Communications Commission 326 U.S. 327 (1945) · pp. 395–396

> **Rule.** When two good-faith broadcast applications under the Communications Act are mutually exclusive, the Federal Communications Commission may not grant one without hearing both, because the grant substantially nullifies the other applicant's statutory opportunity to be heard.

1. Two good-faith applications compete for one usable frequency

Likely question: Why was this more than ordinary business competition?

In March 1944, Fetzer Broadcasting Company asked permission to build a Grand Rapids, Michigan, station on 1230 kilocycles, at 250 watts, with unlimited hours. In May, before that application was decided, Ashbacker Radio Corporation applied to move its existing Muskegon station, WKBZ, from 1490 to 1230, with the same power and hours.

The Federal Communications Commission (FCC) found that running both stations at once would cause intolerable interference. The applications were actually mutually exclusive: the FCC could grant one but not both. The record suggested no workable adjustment letting both operate, no deadline disqualifying Ashbacker, and no bad faith in Ashbacker's filing.

2. The FCC gives Fetzer a permit and Ashbacker a later hearing

Likely question: How did granting Fetzer first change what Ashbacker's hearing could accomplish?

In June the FCC granted Fetzer's application without a hearing and, the same day, set Ashbacker's application for a hearing. Ashbacker asked for a hearing, a rehearing, and relief against the Fetzer grant. The FCC refused. It said it had not denied Ashbacker's application and could still pick the proposal that better served the public interest later.

But the hearing notice required Ashbacker to prove, among other things, how much it would interfere with Fetzer's already-authorized station, and to win the listed issues on a formal hearing record. What reached the courts was this hearing order and the burden it imposed. No comparative hearing (one weighing rival applicants against each other) had been held, and no denial had followed one.

Ashbacker appealed the grant of Fetzer's construction permit (the authorization to build) under § 402(b)(2) of the Communications Act, as a person adversely affected by it. On the FCC's motion arguing lack of jurisdiction, the D.C. Court of Appeals dismissed the appeal without an opinion. The Supreme Court granted review.

3. Douglas reads the grant power together with the hearing right

Likely question: Ashbacker still had a hearing scheduled, so why was it inadequate?

Section 309(a) of the Communications Act, as it then read, let the FCC grant an application after examining it, without a hearing, if the grant served the public interest, convenience, or necessity. Otherwise it required notice and an opportunity for a hearing. Justice Douglas, for the majority, read the two commands together. The FCC could not grant one of two mutually exclusive applications, emptying the other's hearing, just by pointing to the grant power viewed alone.

The FCC's own interference finding made the showing demanded of Ashbacker impossible on the stated terms. In effect Ashbacker had to win a rehearing of its competitor's grant instead of ordinary consideration of its own application. FCC regulations encouraging joint scheduling and consolidation of conflicting applications supported this conclusion, though the Court did not prescribe every procedural detail.

No licensee gains a vested property right in a frequency (an ownership claim the government cannot take away). But the statute required procedures protecting an existing licensee before the FCC could modify, suspend, or revoke its authorization. Fetzer's grant thus made Ashbacker a newcomer trying to displace an established station. The grant was not genuinely provisional, a stay of it had been denied, and the FCC identified no urgent public need to act first. The Court refused to infer urgency merely from the FCC's decision to grant.

4. The hearing injury supports an appeal before construction ends

Likely question: Could Ashbacker wait and raise the problem at the operating-license stage?

Earlier cases allowed appeals by competitors economically injured by a grant and by licensees whose stations a new grant would interfere with. The Court held Ashbacker at least as adversely affected, because its hearing survived only in form. That injury supported the appeal the lower court had dismissed.

A construction permit differs from the operating license the FCC issues under § 319(b) once the builder complies with the permit. At that stage the FCC ordinarily could refuse only for a public-interest problem that had newly arisen or newly become known. The parties conceded that Ashbacker could not use that stage to challenge the original failure to hear its application. Ashbacker did not have to wait until construction made the loss harder to remedy.

5. Frankfurter would fix the hearing but allow a conditional grant

Likely question: Where did the dissent part ways with the majority on FCC flexibility?

Justice Frankfurter, joined by Justice Rutledge, also found the interference condition defective. But he stressed the FCC's specialized public-interest role and Congress's express permission for grants on examination. Assuming the FCC had examined both applications, he thought it could grant Fetzer conditionally, then modify the grant if Ashbacker proved the better applicant. His footnotes described the FCC's earlier handling of conflicting applications and its modification powers.

He would have sent the case back to revise the hearing order so Ashbacker could argue it was the better choice, while leaving the conditional Fetzer grant in place. So the dissent did not approve a useless hearing. It rejected the majority's limit on the order in which the FCC could act.

On December 3, 1945, the Supreme Court reversed the dismissal, five to two among participating Justices. Justices Black and Jackson took no part. The reasoning required a meaningful opportunity for both good-faith, mutually exclusive applicants before a grant practically defeated one. The Court did not award a license, decide which broadcaster was better, or set rules for later auctions or for applications that could coexist, which the assigned reading discusses as editorial commentary.

Limits. The 1945 decision applied § 309(a) as it then read, not the later § 309(e) structure. Before Supreme Court review, Ashbacker had no completed hearing on the merits and no final denial of its license, and the Court chose no winning broadcaster.

Richardson v. Perales 402 U.S. 389 (1971) · pp. 401–408

> **Rule.** A written report by a doctor who examined a disability claimant may be admitted, and may count as substantial evidence (evidence a reasonable mind could accept as adequate) supporting a finding against the claimant, even though the report is hearsay (an out-of-court statement) and live testimony contradicts it, when the claimant has not used the available right to subpoena that doctor.

1. Perales's back injury leads doctors to disagree

Likely question: Which doctors examined Perales, and which of them supported his disability claim?

Pedro Perales, a San Antonio truck driver, claimed that a lifting injury in September 1965 disabled him and applied for Social Security disability insurance benefits. His neurosurgeon, Dr. Munslow, first treated him conservatively, meaning without surgery, and then operated in November 1965. The surgery found no protruded disc and no other definite physical cause. Perales kept reporting pain, but Munslow and a consulting neurologist found no objective neurological explanation. Munslow advised Perales to return to work.

Dr. Morales, a general practitioner who later treated and hospitalized Perales, concluded that the injury was genuine, permanent and totally disabling, and that Perales was not malingering (faking or exaggerating illness). The state agency arranged orthopedic, psychiatric and electromyographic examinations (tests of muscle and nerve electrical activity). These specialists reported few objective findings and suggested that Perales's weakness might reflect poor effort or a functional component, meaning a symptom without an identifiable physical cause. They did not support disability as severe as Morales described.

These disagreements were evidence for the agency to weigh. The Supreme Court later decided whether the agency's procedures could fairly use the written reports. It did not diagnose Perales or find that he was malingering.

2. Two hearings allow live testimony and access to reports

Likely question: Whom did Perales's lawyer cross-examine, and which doctors did he never ask to subpoena?

After the agency denied the claim and denied it again on reconsideration, Perales received notice of a hearing. He and his attorney could inspect the documents in his file, submit more evidence, and bring medical or other witnesses. Hearings took place on January 12 and March 31, 1967. His lawyer objected to the adverse reports as hearsay (out-of-court statements offered to prove what they say), as lacking cross-examination, and on other grounds. The hearing examiner, the agency official who ran the hearing and decided the claim, admitted those reports and the reports Perales offered.

Perales, Morales, a former coworker, a vocational expert (a specialist in what jobs a person can do) and Dr. Leavitt testified. Leavitt was an independent medical adviser whom the examiner called. Leavitt had never examined Perales. He reviewed the medical evidence, explained technical material such as the electromyography, and gave an opinion, consistent with the reports, that the impairment was mild. Perales's lawyer actually cross-examined him.

The statute and the agency's regulations let a claimant request subpoenas (orders compelling a witness to appear) for the doctors who wrote the reports. Although Perales had a lawyer and a second hearing more than two months after the first, he never asked for those doctors to attend. That unused opportunity

concerned the examining doctors who wrote the reports, not Leavitt, who was present. The distinction became central to the Supreme Court's ruling.

3. The examiner denies benefits and lower courts doubt the evidence

Likely question: What did each decisionmaker below conclude about the medical reports?

The examiner found a mild low-back impairment, an emotional component not severe enough to make Perales disabled under the statute, and capacity for certain less strenuous work. The Appeals Council, the agency's internal review body, upheld the denial after receiving more material, including a workers' compensation judgment and another medical report. Neither some impairment nor the compensation judgment automatically met the federal standard, which asks whether a person can engage in substantial gainful activity (meaningful paid work).

Perales sought court review under § 205(g) of the Social Security Act, which made the agency's factual findings conclusive when substantial evidence supported them. The district court rejected the denial's evidentiary basis and ordered a new hearing before a different examiner. It was troubled that the reports were unsworn and that the adviser who never examined Perales had relied on them.

The Court of Appeals for the Fifth Circuit agreed that the reports and Leavitt's testimony were admissible, and that Perales had not used the subpoena procedure. Even so, it held that reports Perales had objected to could not count as substantial evidence when the live testimony of Perales and his own doctor directly contradicted them. On rehearing, the Fifth Circuit limited that statement to this particular arrangement of conflicting evidence and disclaimed any general ban on uncorroborated hearsay. The Secretary of Health, Education, and Welfare then obtained Supreme Court review of that exclusion of the reports from the substantial-evidence inquiry.

4. The Court separates admitting reports from relying on them

Likely question: Why could these written medical reports count as substantial evidence?

Justice Blackmun wrote for the Court, joined by Chief Justice Burger and Justices Harlan, Stewart, White and Marshall. Congress had allowed the Social Security process to receive evidence that courtroom rules would exclude. That permitted admitting the reports but did not end review, because the findings still needed substantial evidence. Substantial evidence means more than a scintilla (a mere trace); it is evidence that a reasonable mind could accept as adequate to support the conclusion. The Court rejected automatic disqualification of a report merely because live testimony contradicted it.

The five doctors who wrote them had personally examined Perales and used ordinary professional methods. The reports recorded observations, tests, diagnoses and recommendations within their specialties. The surgery, the neurological evaluation, and the orthopedic, psychiatric and electromyographic examinations each supplied independent detail, and the majority found the reports consistent with one another. This gave them rational probative force (a logical tendency to prove a fact) beyond unsupported rumor. The earlier case of Consolidated Edison had cautioned against uncorroborated hearsay, but that caution did not create a categorical bar against medical evidence of this kind.

Some of the doctors had been hired through the state agency and paid for their professional services. The majority would not infer from payment alone a stake in denying benefits. It described the process as adjudicative (a neutral decision on a claim) rather than adversarial (a contest between opposing sides), and refused to presume bias from adverse conclusions. This was its judgment about this record; it did not declare that experts hired by the government can never be biased.

Informal procedures also served the disability system, which handles claims on a large scale and was meant to stay accessible to claimants who are not lawyers. Examiners had to inquire fully and gather relevant material without importing every courtroom formality. The volume of cases supported that design but did not replace the requirement of a fundamentally fair hearing or the inquiry into the evidence's actual reliability and safeguards.

5. Unused subpoenas and the adviser's limited role answer fairness concerns

Likely question: Which procedural opportunities did the majority rely on, and how do they limit the holding?

The reports were open to inspection, their authors were named, and Perales's lawyer had two hearings and a procedure for requesting the authors' attendance. Because Perales made no request, the majority rejected his argument that the process denied him confrontation and cross-examination. The Court did not decide a case in which a claimant makes a timely request for a materially necessary subpoena and the agency refuses it. Nor did it hold that every requested subpoena must issue.

The majority treated Goldberg v. Kelly, the case about ending welfare benefits, as involving different procedures. Perales sought a first award of benefits, had notice and access to the reports, and could request the doctors' attendance. The majority saw the record as a professional disagreement over medical conclusions rather than a dispute about a witness's honesty that required confrontation the agency had withheld. It still accepted that procedural due process (the constitutional requirement of fair procedures) applied. It did not treat first-time benefit applications as categorically outside constitutional protection.

Leavitt explained technical evidence to the examiner, who was not a doctor, without claiming personal knowledge of Perales's condition. His opinion matched the examining reports, and Perales's lawyer could test it. The examiner both developed the evidence and decided the claim; on this record, that combination did not automatically make him an advocate or require his disqualification.

Section 556(d) of the Administrative Procedure Act (APA), the federal statute setting general rules for agency procedure, allows documentary evidence, requires cross-examination when needed for full and true disclosure of the facts, and contemplates written procedures for benefit cases under specified conditions. The majority found the Social Security procedures consistent with those requirements, because the reports remained subject to subpoena and examination. It therefore expressly left open whether the APA applies generally to disability proceedings.

6. Douglas dissents; the Court leaves benefits undecided

Likely question: What did the reversal decide, and what was left for the district court to review?

Justice Douglas dissented, joined by Justices Black and Brennan. He agreed that documentary hearsay could be admitted but disputed that here it could supply substantial evidence against the live testimony of Perales and his treating doctor. He read the fair-hearing and substantial-evidence requirements to demand testing of the adverse reports, because cross-examination exposes the strengths and weaknesses of competing medical opinions.

Douglas objected especially to relying on an adviser who had never examined Perales and to treating specialists hired by the government as reliably neutral. In his view, the arrangement gave the government adverse medical opinions without making their authors defend them. He cited APA legislative history recognizing that necessary cross-examination can reach written evidence. He did not accept that the reports' consistency and the unused request procedure answered the fairness problem, and would have affirmed the judgment requiring further agency proceedings.

On May 3, 1971, the Court reversed and remanded (sent the case back to the lower court). It held that competent, reliable reports by examining doctors could be substantial evidence despite their hearsay form, the lack of actual cross-examination, and contrary live testimony, where the claimant had a lawyer and did not use the available procedure for requesting the doctors' attendance. That holding concerned what such reports can support; it did not say that every report outweighs live testimony, or that all admissible hearsay is substantial evidence.

The Court expressly gave no view on whether Perales was entitled to benefits. The district court still had to decide whether the entire record of material, admissible evidence substantially supported the denial. The Supreme Court did not award benefits, make a final finding that Perales was not disabled, or require a new hearing before a different examiner. Later casebook notes on a necessity standard for issuing subpoenas and on later regulations are teaching context, not holdings of this case or certification of current regulations.

Limits. This account follows the historical decision as the canonical brief describes it, without a new audit. Diagnoses and conclusions about Perales's work capacity are medical opinions or administrative findings, not diagnoses made by the Supreme Court. The Court did not finally decide whether Perales was entitled to benefits. The Court did not decide a case in which the agency refuses a necessary subpoena, did not guarantee that every requested subpoena must be issued, and did not decide whether the Administrative Procedure Act (APA) applies across the board to disability proceedings.